Ch. 25 HW # 2 Additional Problems

Principles of Macroeconomics

February 3, 2026

1. Fill in the table below. Does the family get worse off or better off from 2020-2025?

Year	Nominal Family Income	CPI	Real Family Income
2020	$40,000	100	
2025	$44,000	125	

2. A report found that the real entry-level wage for college graduates declined by 5% between 2015 and 2022. The nominal entry level wage in 2022 was $14.35 per hour. The CPI was 237.0 in 2015 and 292.7 in 2022.

   (a) What was the real entry-level wage in 2022?

   (b) What was the real entry-level wage in 2015?

   (c) What was the nominal entry-level wage in 2015?

   (d) What was the annual inflation rate from 2015 to 2022?